Experiment 3 Instructions

We are going to play a card game in which everybody will be matched with someone in the room. I will now give each of you a pair of playing cards, one red card (Hearts or Diamonds) and one black card (Clubs or Spades). The numbers or faces on the cards will not matter, **just the color.**

You will be asked to play one of these cards by holding it to your chest (so we can see that you have made your decision, but not what that decision is). Your earnings are determined by the card that you play and by the card played by the person matched with you. If you play your red card, then your earnings in dollars will increase by $2, and the earnings of the person matched with you will not change. If you play your black card, your earnings do not change and the dollar earnings of the person matched with you go up by $3.

- If you *each play your red card, you will each earn $2.*
- If you *each play the black card, you will each earn $3.*
- If you *play your black card and the other person plays his or her red card, then you earn zero and the other person earns the $5.*
- If you *play red and the other person plays black, you earn the $5, and the other person earns zero.*

All earnings are hypothetical, except as noted below.

In each period, you will choose which card to play, write its color (R or B) in the table below, and hold the card to your chest. Once everyone has decided, I will tell you who you are matched with, and you will each reveal the card you played. Record the name of the person you were matched with, his/her card played, and your earnings in the table.

There will be 6 periods in total. In periods 1, 2, and 3 you will be matched with a different person in each period. In periods 4, 5, and 6 you will be matched with one new person, and you will play with him/her for all three of those periods. The payoffs described above apply in periods 1, 2, 4, and 5. In periods 3 and 6 the payoffs will be higher; I will announce the new payoffs before each of those periods begins.

There will be two winners of 1 extra credit point. After the final period, I will calculate everyone's total earnings and rank them from highest to lowest. From this list, I will select the top five earners (numbered 1 to 5) and the bottom five earners (numbered 1 to 5) and enter them into a lottery. I will then generate a random number from 1 to 5 for each lottery. I will pick the fifth generated number to ensure transparency. The winner in each lottery group will earn one extra credit point.

Any questions?

Please write your name and student ID number below. We will then begin period 1.

Name: _____
Student ID: _____

period	partner's name	your card (R or B)	other's card (R or B)	your earnings
1				
2				
3				
4				
5				
6				